

ENGLISH

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 21

22nd February, 2017 @ 12.00 noon

Free Up Organised Retail, Shed Riders

Make in India needs an efficient retail sector

The government reportedly wants to free up foreign direct investment (FDI) in retail, but only for domestically manufactured goods. That shows confused thinking, not reform to enrich the economy and empower consumers. The country needs inflow of foreign capital. Real reform requires lifting curbs in FDI on all types of retail, both online and physical. It will boost investment, both in real estate and in manufacturing, bring in business expertise, and modernise the country's retail sector. The notion that allowing 100% FDI — only in e-commerce and brick-and-mortar companies that make and sell stuff locally — will boost domestic manufacturing is misplaced.

What will or will not be produced in India should be left to tariffs and industrial policy, apart from inherent competitiveness of local production relative to production abroad. The need is to freely allow foreign investment in retail, so as to offer manufacturers a ready distribution platform. It would also end complaints by organised physical retailers over unfair competition from online retail that receives oodles of cash from venture funds that it converts into discounts. General mistrust of organised retail is unwarranted as the benefits outweigh harm caused to small traders. Organised retail chains do away with tiers of stocking and distribution between the producer and consumer. This, in turn, lowers the cost for consumers, expands the market and boosts tax collections. By derisking distribution, domestic manufacturing can draw more investment, including investment by mid-size foreign companies that can make products, but are too tiny to invest or build their own distribution network.

Whether retailers should hold inventory or function as a marketplace should be left to the logic of commercial efficiency, rather than dictated, as at present. For a variety of goods, the marketplace model is just fine and would be chosen by the industry of its own accord. When selling directly to the customer by the online retailer is desirable, as it might be in the case of some specialist goods, why should policy come in the way and obstruct commerce?



THE ECONOMIC TIMES
21st February 2017

←
DISCUSSION ON
22nd Feb (Today)

→
DISCUSSION ON
23rd Feb (tomorrow)

Devil in the detail

The still large bad loan book not only heightens the risk to earnings but also impedes fresh lending

The rather sanguine reaction of the market following the results of some of the leading public sector banks, is understandable. After the tumultuous performance last fiscal, owing to the RBI's asset quality review, most banks have cut their losses considerably. Incremental addition to the stockpile of bad loans has slowed, leading to a fall in provisioning requirement and improvement in earnings. The quarterly slippages of the largest lender, State Bank of India, have halved over the last two quarters from a whopping ₹20,000-30,000 crore in the second half of last fiscal. Other large state-owned lenders such as Bank of Baroda and Punjab National Bank, after reporting record losses, have crawled back into the black. But the recovery is nothing more than an optical treat, calming investor nerves rattled over the past couple of quarters by the sheer quantum of slippages. While the pace of slippages has moderated, much of the damage has been done. With PSBs alone saddled with over ₹6 lakh crore of bad loans, provisioning requirement can shoot up in the coming quarters if stressed accounts are not resolved quickly and bad loans continue to age. SBI alone has a little over ₹1 lakh crore of bad loans, nearly a fifth of the country's fiscal deficit.

With core earnings continuing to shrink on account of tepid credit offtake — further hit by demonetisation — many banks have only just managed to stay above water; in most cases bad loan provisions are equal to or many times banks' operating profit. And this, despite the steep windfall treasury gains that banks reported during the quarter. The silver lining, until recently, was the strong performance by private banks, which had mostly emerged unscathed from the RBI's AQR activity. But the sudden rise in slippages of large lenders such as ICICI Bank and Axis Bank, aside from raising some niggling questions, have also weighed on the performance of the entire pack, with profits shrinking for two quarters in a row.

The only way to free up banks' balance sheet and revive investment appetite of stressed companies is to hasten the resolution process. Asset reconstruction companies (ARCs) set up for this purpose have seen limited success, owing to scarce capital and delays in the functioning of the Debt Recovery Tribunals. Lifting the cap on promoters' holding in an ARC has been done away with recently, easing up capital raising. There is now an urgent need to kick-start the resolution machinery under the new Bankruptcy Code. Also, in finding ready takers for businesses under the RBI's various restructuring schemes or selling bad loans to ARCs, lack of concurrence of the serviceable or sustainable portion of debt has impeded resolution. Hence, banks need to be empowered to take huge haircuts to restore viability in some projects. For this, the Centre needs to move ahead on structural reforms — be it operationalising the Banks Board Bureau, or setting out a clear roadmap for consolidation within the sector, or reducing its stake in PSBs.

LIVE

THE HINDU
BusinessLine
20th February 2017

Free Up Organised Retail, Shed Riders

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Free Up Organised Retail, Shed Riders

THE ECONOMIC TIMES

21st February 2017

Free Up Organised Retail, Shed Riders

LIVE

- Make in India needs an efficient **retail** sector
- The government reportedly wants to free up foreign direct investment (FDI) in retail, but only for domestically manufactured goods. That shows confused thinking, not reform to **enrich** the economy and **empower** consumers.
- The country needs inflow of foreign capital. Real reform requires lifting **curbs** in FDI on all types of retail, both online and physical. It will **boost** investment, both in real estate and in manufacturing, bring in business **expertise**, and **modernise** the country's retail sector.
- The **notion** that allowing 100% FDI -only in e-commerce and brick-and-mortar companies that make and sell stuff locally -will boost domestic manufacturing is **misplaced**.
- What will or will not be produced in India should be left to **tariffs** and industrial policy , apart from **inherent** competitiveness of local production relative to production abroad. The need is to freely allow foreign investment in retail, so as to offer manufacturers a ready distribution platform. It would also end complaints by organised physical retailers over unfair competition from online retail that receives **oodles** of cash from **venture funds** that it converts into discounts.
- General **mistrust** of organised retail is **unwarranted** as the benefits **outweigh** harm caused to small traders. Organised retail chains do away with tiers of stocking and distribution between the producer and consumer. This, in turn, lowers the cost for consumers, expands the market and boosts tax collections. By derisking distribution, domestic manufacturing can draw more investment, including investment by mid-size foreign companies that can make products, but are too **tiny** to invest or build their own distribution network.
- Whether retailers should hold inventory or function as a marketplace should be left to the logic of commercial efficiency , rather than **diktat**, as at present. For a variety of goods, the marketplace model is just fine and would be chosen by the industry **of its own accord**. When selling directly to the customer by the online retailer is desirable, as it might be in the case of some specialist goods, why should policy come in the way and obstruct commerce?

RETAIL



WHOLESALE



FOREIGN PORTFOLIO INVESTMENTS (FPIs)

FPIs

U
S
A



E
U



Capital Flows

FOREIGN
PORTFOLIO
INVESTORS

Approval from



FOREIGN PORTFOLIO INVESTMENTS (FPIs)



USA



Capital flows



- Hot money
- Passive investment
- Highly volatile / not stable
- Investments in financial assets
- Can come and go at any time
- Asset bubbles / asset crashes
- Currency appreciation / depreciation
- Developing countries are affected

FOREIGN DIRECT INVESTMENTS (FDIs)



Mercedes-Benz



Japan

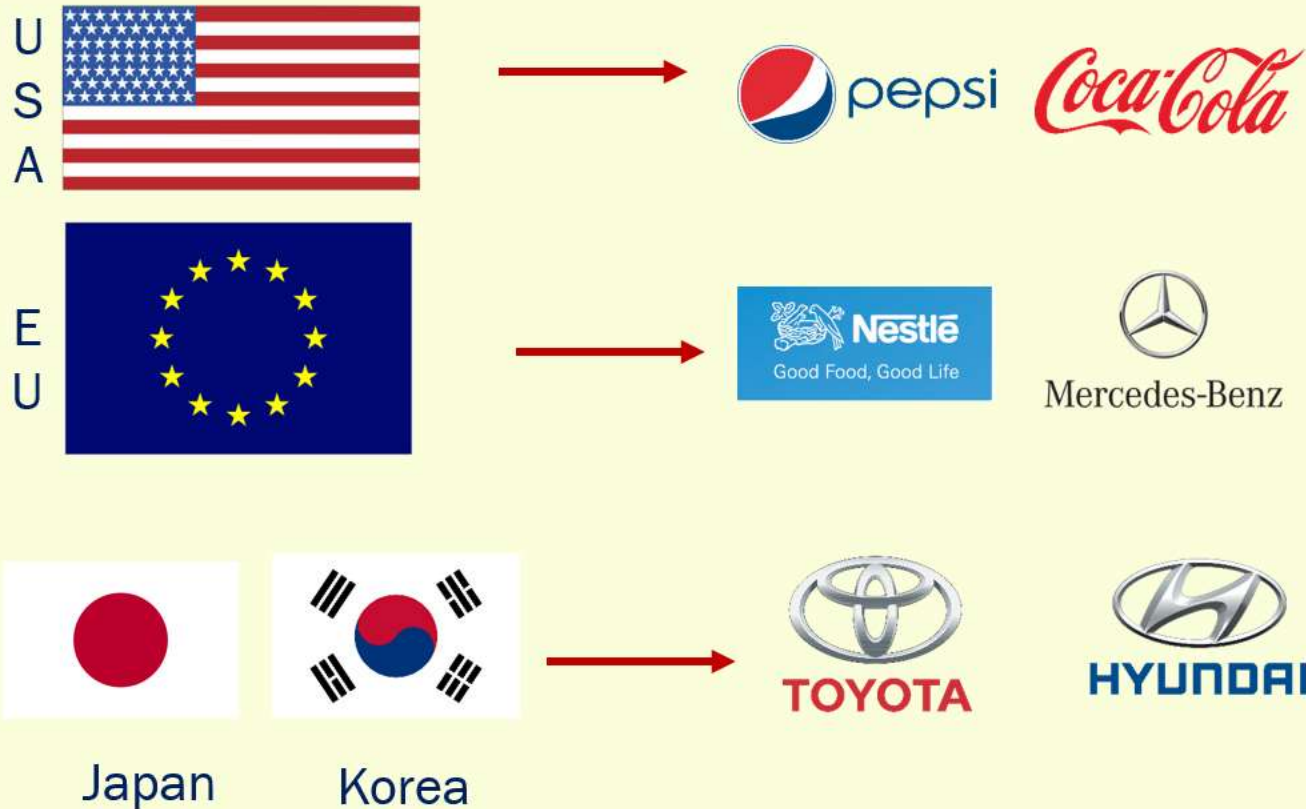


Korea



HYUNDAI

FOREIGN DIRECT INVESTMENTS (FDIs)



- Stable, long term
- Stays on for longer time, not easy to exit
- Interest to establish enterprise
- Creates jobs
- Comes with modern technology
- Aids in GDP
- Invests in physical assets
- Countries with stable policy and conducive environment attracts FDI

TYPES OF E-COMMERCE

1. MARKET PLACE MODEL



snapdeal

Flipkart



amazon

THESE COMPANIES
ARE TAKEN ONLY
AS AN EXAMPLE



BUYERS

PLATFORMS TO
LINK SELLERS AND
BUYERS

DEFINITION

“Market place model is the platform that enables a large, fragmented base of buyers and sellers to transact with each other by using the platform”

TYPES OF E-COMMERCE

2. INVENTORY MODEL

THESE COMPANIES
ARE TAKEN ONLY
AS AN EXAMPLE



INVENTORY OF GOODS
IN A GODOWN HELD BY
THE WEBSITE OWNER

snapdeal

Flipkart



amazon



BUYERS

DEFINITION

“In inventory based model, the company owning the website holds inventory of the goods it sells”

Free Up Organised Retail, Shed Riders

Make in India needs an efficient *retail* sector

The government reportedly wants to free up foreign direct investment (FDI) in retail, but only for domestically manufactured goods. That shows confused thinking, not reform to *enrich* the economy and *empower* consumers

Enrich

*My life was greatly **enriched** after my interaction with English professor*



Enrich

To improve the quality of something by adding something else

Empower

Bank loans
to Self Help
Groups in our
country is
empowering
women



Self Help Groups



73rd & 74th
Amendments to
the Constitution
empowered
Panchayati Raj
Institutions in
our country

Empower

The process of giving people / organization more freedom / rights
/ official authority / legal power

Free Up Organised Retail, Shed Riders

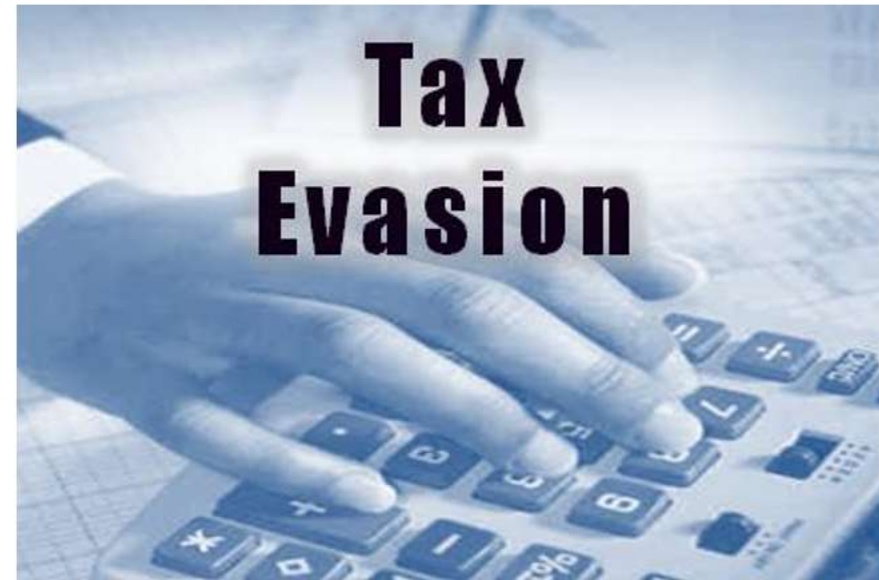
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Curb

*The government should act tough to **curb** tax evasion.*



Curb

To limit something that is not wanted

Boost

Liberalisation
has **boosted**
the Indian
economy in
many ways



Kerala state
Government
took several
measures to
boost its
tourism



Boost

Increase / improve

Boost

Encourage / Help

Expertise

*In India, there is sufficient **expertise** available in space research.*



Expertise

High level of knowledge or skill

Modernize

*Our textiles sector will have global competitiveness, if our factories are **modernized**.*



Modernize

To make something more modern by using more methods, ideas and equipment

Free Up Organised Retail, Shed Riders

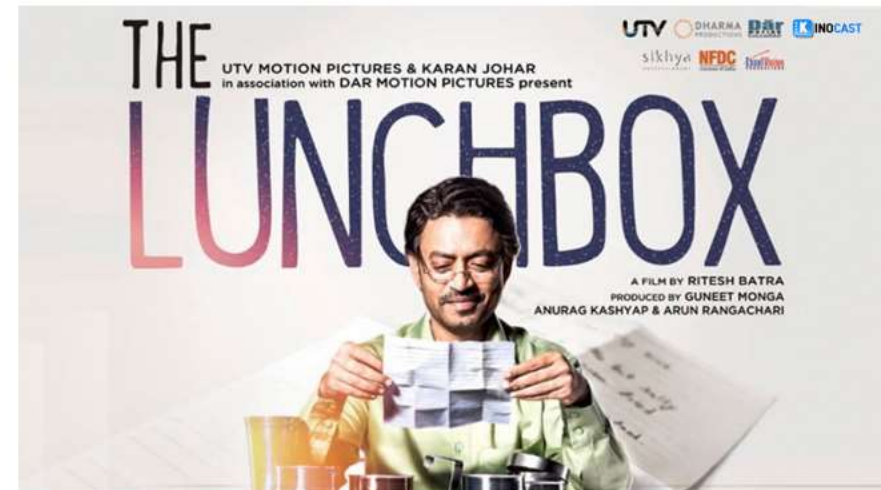
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The *notion* that allowing 100% FDI -only in e-commerce and brick-and-mortar companies that make and sell stuff locally -will boost domestic manufacturing is *misplaced*.

Notion

*The success of small budget films in recent times belies the **notion** that only films featuring superstars will be successful.*



Notion

Belief or idea

Misplaced

*I can not take up
engineering education, and
your confidence in my
abilities is **misplaced***



Misplaced

Directed towards the persons or things without good judgement

LIVE

E-commerce

Flipkart



amazon

snapdeal

BRICK & MORTAR RETAIL STORES



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TARIFF BARRIERS

- Various types of Taxes and Duties

NON-TARIFF BARRIERS

- Import bans
- Difficulty in getting import licenses
- General or product-specific quotas
- Complex regulatory environment
- Multiplicity and controls of foreign exchange market

Inherent

*Establishing industries close to the sea coast in coastal areas will have **inherent** risks of cyclones.*



Inherent

Existing as a natural part of something

Oodles

*Radhika inherited **oodles** of cash and property from her uncle as her uncle has no children.*



Oodles

A very large amount of something pleasant

ANGEL INVESTMENT / VENTURE CAPITAL

ANGEL INVESTMENT

- *For start-ups at too early stage.*
- *Few thousands of dollars.*
- *May be from relatives & friends.*
- *Invest their own money.*
- *Emphasis is on person.*
- *In return take up equity in company.*

VENTURE CAPITAL

- *For start-ups, after assessing high growth potential.*
- *Moderate investment of at least 1 to 2 million dollars.*
- *Pooled up money from various professionally managed sources.*
- *In return, take up equity in company.*

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Trust

*Good business relationships
are built on mutual **trust**.*



Trust

The belief that one can depend on someone or something

Trust

*Tata **trust** is one of the famous charitable institutions in our country.*



Trust

A legal arrangement in which a person or organization has the right to manage money

Unwarranted

*People should be protected against **unwarranted** intrusion into our private lives by the TV channels.*



Unwarranted

Not having a good reason and therefore unfair

Outweigh

The benefits of this
cancer treatment far
outweigh any risks.



Outweigh

More important than something else

Tiny

*They have a **tiny** house, but
they live happily.*

***Tiny***

Extremely small

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Diktat

*The principal issued a **diktat** against wearing jeans in the college premises.*



Diktat

The order that must be obeyed / Harsh order

On its own accord

*He came **on his own accord**.
No one asked him to come
here.*



On its own accord

People do something without being asked to do it

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DISCUSSION ON

23rd Feb (tomorrow)

THE ~~STOCK~~ HINDU
BusinessLine

20th February 2017

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO



Presented by



LEARNING SPACE

...Transforming Human Lives

OUR TEAM

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